

Estimated Share of California Earners

Making \$7,000 or Less in 2024

Calculation, interpretation, limitations and official sources | July 10, 2026

Methodological estimate - not an official QCEW or California Pay Data statistic

8.2% Best estimate	1.71 million Estimated people	5.8% to 8.8% Data-imposed range
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Summary

The best estimate is 8.2%: about 1.71 million California residents age 16 or older with earnings made \$7,000 or less during 2024. The estimate uses the U.S. Census Bureau 2024 American Community Survey earnings distribution because neither QCEW nor California Pay Data Reporting publishes a worker-level cutoff at \$7,000.

The \$7,000 threshold falls inside the published \$5,000 to \$7,499 earnings interval. The point estimate assigns 80% of that interval to earnings of \$7,000 or less. The resulting range of 5.8% to 8.8% is a bracket created by the published category boundaries, not a statistical confidence interval.

Calculation

ACS 2024 input	Count	Use in estimate
California residents age 16+ with earnings	20,941,128	Denominator
Earnings below \$5,000	1,220,633	Included in full
Earnings \$5,000 to \$7,499	613,607	Included at 80%
Estimated portion of interval at or below \$7,000	490,886	0.80 x 613,607
Estimated count = 1,220,633 + (0.80 x 613,607) = 1,711,519		
Estimated percentage = 1,711,519 / 20,941,128 x 100 = 8.173% = 8.2%		

Recommended reporting sentence: An estimated 8% of California residents age 16 or older with earnings made \$7,000 or less in 2024.

Method and interpretation

The estimate uses ACS detailed table B20001, whose universe is the population age 16 and older with earnings in the past 12 months. ACS earnings include wage and salary income and net self-employment income. For that reason, the denominator is more accurately described as people with earnings than as payroll jobs or unique UI-covered workers.

The interpolation assumes that observations are distributed approximately evenly across the \$5,000 to \$7,499 category. A more precise result would require ACS Public Use Microdata Sample records or California unemployment-insurance wage-record microdata, with annual earnings aggregated across employers for each person.

Published-bin bounds

Scenario	Estimated count	Percentage	Meaning
Lower bound	1,220,633	5.83%	None of the \$5,000-\$7,499 interval is counted
Point estimate	1,711,519	8.17%	80% of the interval is counted
Upper bound	1,834,240	8.76%	All of the interval is counted

Why QCEW cannot directly answer the question

Source	What it measures	Why it cannot produce the \$7,000 percentage
BLS and California QCEW	Monthly covered payroll jobs, establishments and aggregate quarterly wages	It does not publish each person's annual earnings. A person holding multiple jobs can be counted by multiple employers, so the employment total is not a unique-worker denominator.
California Pay Data Reporting	Annual W-2 earnings bands for covered employees of large private employers	The lowest 2024 band is \$19,239 and under, which combines workers below and above \$7,000. Coverage excludes smaller employers, public employers and self-employed workers.
2024 ACS B20001	Annual earnings categories for California residents age 16 and older with earnings	This is the closest public statewide distribution, but \$7,000 falls inside a category and must be estimated.

Cautions for use

The estimate is not the percentage of full-time workers earning \$7,000 or less. It includes part-year, part-time, intermittent and self-employment earnings. It should not be divided by QCEW employment because the sources measure different units. The published-bin range is not a confidence interval, and ACS sampling error adds further uncertainty.

Official sources

The estimate and limitations were documented from the following official federal and California sources. Links were accessed July 10, 2026.

[U.S. Census Bureau, 2024 ACS 1-year detailed table B20001](https://api.census.gov/data/2024/acs/acs1/groups/B20001.html)

Defines the universe and earnings categories used for the estimate. Variables include the male and female categories for earnings below \$5,000 and \$5,000 to \$7,499.

<https://api.census.gov/data/2024/acs/acs1/groups/B20001.html>

[U.S. Census Bureau, 2024 ACS data release](https://www.census.gov/programs-surveys/acs/news/data-releases/2024/release.html)

Documents the 2024 ACS 1-year release and access through the Census API and [data.census.gov](https://www.census.gov).

<https://www.census.gov/programs-surveys/acs/news/data-releases/2024/release.html>

[California Department of Finance, American Community Survey](https://dof.ca.gov/reports/demographic-reports/american-community-survey/)

California State Data Center page directing users to ACS products and explaining state use of Census data.

<https://dof.ca.gov/reports/demographic-reports/american-community-survey/>

[California Open Data, Quarterly Census of Employment and Wages](https://data.ca.gov/dataset/quarterly-census-of-employment-and-wages)

State portal version of QCEW. It reports employment and aggregate wage measures, including average weekly wage calculations.

<https://data.ca.gov/dataset/quarterly-census-of-employment-and-wages>

[U.S. Bureau of Labor Statistics, QCEW questions and answers](https://www.bls.gov/cew/questions-and-answers.htm)

Explains that QCEW measures filled jobs and that multiple-job holders may be counted more than once.

<https://www.bls.gov/cew/questions-and-answers.htm>

[U.S. Bureau of Labor Statistics, Employment and Wages Annual Averages 2024](https://www.bls.gov/cew/publications/employment-and-wages-annual-averages/2024/)

Official 2024 QCEW annual-averages publication.

<https://www.bls.gov/cew/publications/employment-and-wages-annual-averages/2024/>

[California Civil Rights Department, Pay Data Reporting Handbook for Reporting Year 2024](https://calcivilrights.ca.gov/wp-content/uploads/sites/32/2025/01/PDR_California_Pay_Data_Reporting_Handbook.pdf)

Shows that the lowest pay band is \$19,239 and under and explains the W-2 earnings basis used to assign employees to bands.

https://calcivilrights.ca.gov/wp-content/uploads/sites/32/2025/01/PDR_California_Pay_Data_Reporting_Handbook.pdf

[California Civil Rights Department, 2024 Pay Data release](https://calcivilrights.ca.gov/2026/03/26/new-data-shows-ongoing-gender-and-race-pay-divide-among-large-private-sector-employers/)

Describes the coverage of the 2024 pay-data results, including nearly 8 million workers at large private-sector employers and key exclusions.

<https://calcivilrights.ca.gov/2026/03/26/new-data-shows-ongoing-gender-and-race-pay-divide-among-large-private-sector-employers/>

Reproducibility note

The estimate combines the male and female ACS B20001 categories for \$1 to \$2,499 or loss, \$2,500 to \$4,999, and \$5,000 to \$7,499. The first two category pairs total 1,220,633; the third pair totals 613,607. The total B20001 universe is 20,941,128. Applying the stated 80% interpolation reproduces the 8.173% point estimate shown in this report.

Prepared as a transparent estimate for analytical use. Verify against worker-level wage records before treating it as an official count.